

overvalued a stock becomes, the greater the allocation, and the more undervalued, the lower the allocation—the exact reverse of what would be desirable. Equal-weighted indexes avoid this problem and add about 2 percent per year to the return of capitalization-weighted indexes. Greenblatt believes that a *value-weighted* index (not to be confused with a capitalization-weighted value index) can add significant additional improvement and may provide the most attractive long-only equity investment alternative for investors.

Greenblatt's trade in Wells Fargo illustrates the concept that options can be substantially underpriced in situations in which the fundamentals dictate a greater-than-normal chance of either a large gain or a large loss—that is, a binary outcome scenario.² In this particular trade, there was uncertainty whether Wells Fargo would survive a severe real estate downturn. If they did, however, its fee income suggested a far higher price. This binary outlook made a long-term long options position, which had almost as much upside potential on a very large move, but limited risk, a particularly attractive trade. The broader lesson is that options are primarily priced off of mathematical models that do not take account of specific fundamentals. If you can identify a situation where the fundamentals suggest that a large move up, or down, or in either direction is more likely than normal, options may provide a very attractive risk/reward trade.

Although it is not a lesson that is relevant to most investors, it can be critical to managers: Guard against letting assets grow to the point where size impedes performance. Given the spectacular track record of the first 10 years of Gotham Capital, Greenblatt could easily have grown his fund by multiples, collecting hefty management fees in the process. Instead, he chose to return all assets to investors to keep the money under management (his own and that of his partners) small enough so that it did not interfere with the ability to execute the strategy or impede performance.

¹Greenblatt's definitions of these terms are different from their most common definitions and are fully detailed later in this chapter.

²A forward conversion consists of a long stock position hedged with a synthetic short position (short call/long put at same strike and expiration). If the synthetic short position can be implemented at a net credit premium, it provides a locked-in, risk-free profit.